Directive of Strate (Pty) Ltd

Special Gazette No. S2-2024
Strate Directive SJ.1

Operational Market Windows and Securities Processing - Equities - I-EX

strate

To provide for the settlement of transactions in equities traded on I-EX; to provide for the settlement of off-market transactions; to provide for special circumstances under which commitments to settle transactions in equities traded on I-EX may be reversed; to provide for the processing of corporate actions; to provide for proxy voting, and to provide for other related matters

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Index

1. INTERPRETATION AND DEFINITIONS
2. SETTLEMENT OF ON-MARKET TRANSACTIONS
3. SETTLEMENT OF OFF-MARKET TRANSACTIONS
4. DEMATERIALISATION AND REMATERIALISATION
5. SPECIAL CIRCUMSTANCES FOR THE REVERSAL OF COMMITMENTS
6. MOMENT OF FINALITY OF INSTRUCTIONS
7. PROCESSING OF CORPORATE ACTIONS
8. CORPORATE ACTION TRANSACTIONS
9. VOTING PROCEDURE
10. DISCLOSURE OF BENEFICIAL INTERESTS (BIR)

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1. Interpretation and Definitions

This Strate Directive should be read in conjunction with Strate Directive SZ.1 - *Interpretation and Definitions.*

2. Settlement of On-Market Transactions

2.1 General

2.1.1 The following are the basic considerations and assumptions on which the operational timings in this Strate Directive are based:

2.1.1.1 the timings are those established in the Strate System;

2.1.1.2 for all incoming messages, it is 'Received Time' by the Strate System;

2.1.1.3 for all outgoing messages, it is 'Sent Time' by the Strate System;

2.1.1.4 for internal processing, it is 'Processing Time' by the Strate System; and

2.1.1.5 the same rules will apply to On-market and Off-market transactions.

2.1.2 The Participant must open at least one SDA at Strate to service this Exchange.

2.1.3 The timings on transaction acceptance, confirmations and commitments, as provided for in this Strate Directive are not driven by system controls. As a result, it is possible that the Strate System might accept inputs beyond these timings. Such acceptances must not be seen as an assurance that the transactions will Settle.

2.2 Operational Timings

The following operational timings apply in respect of the Settlement of transactions in equity Securities traded on I-EX. These operational timings are based on the assumptions and considerations provided in sub-section 2.1.

2.2.1 The Strate System BOD is at 03h00. The Strate System EOD is at 19h00. Should I-EX or the Participant require Strate to move the EOD parameter beyond 19h00, the requestor must inform Strate in writing by no later than 17h30 on such day.

2.2.2 The Settlement cycle for I-EX On-market transactions is T+0.

2.2.3 I-EX sends new On-market transactions to Strate from 09h00 to 17h00. I-EX sends corrective On-market transactions to Strate between 09h00 and 17h45.

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2.2.4 Strate will send the Participant new and corrective On-market transactions received in terms of 2.2.3 upon receipt of such On-market transactions from I-EX.

2.2.5 The Participant may reject On-market transactions received from Strate. If an On-market transaction is rejected by the Participant, I-EX may amend such On-market transaction by way of a cancellation from 09h00 to 18h00 on S.

2.2.6 If I-EX sends a corrective On-market transaction to Strate, such On-market transaction must be committed to by the Participant by 18h00. This corrective window is not applicable on RD in respect of Securities where there is a pending Corporate Action.

2.2.7 The Participant must ensure that an instruction is received from its Client prior to committing to an On-market transaction.

2.2.8 If the Participant is unable to commit to an On-market transaction, it must reject such transaction.

2.2.9 Subject to 2.2.6 and 2.2.8 above, the Participant must process its commitment to an On-market transaction upon receipt of such On-market transaction from Strate. A commitment to an On-market transaction must reach Strate by 18h00.

2.2.10 In respect of Securities where there is a pending Corporate Action, the Participant must commit to, and ensure the Settlement of, an On-market transaction by 17h00 on RD.

2.2.11 The Participant may "uncommit" to an On-market transaction prior to 18h00 on S. If the Participant uncommits to an On-market transaction, it must inform Strate Settlement Services of its intentions and reasons for uncommitting to the transaction. After 18h00, the Participant may only uncommit in exceptional circumstances and in consultation with Strate Settlement Services and I-EX, in accordance with section 5 below.

2.2.12 Settlement of committed On-market transactions is initiated from 09h00. Strate sends Settlement confirmation messages to the Participant and I-EX once Settlement is completed.

2.2.13 The Participant must reconcile its Securities' positions in the Strate System against its own records. For this purpose, the Strate System generates a statement of holdings message at 18h00 on a daily basis, or only on such days when there has been a change in Securities positions in a Central Securities Account, as required by the Participant, and sends it to the Participant. If there are any discrepancies, the Participant is required to request a statement of transactions from Strate to trace the origins of the discrepancy.

3. Settlement of Off-Market Transactions

3.1 Matching

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The matching criteria for all Off-market transactions consists of first and second level matching.

3.1.1 The first level matching is:

- ISIN
- Settlement type (RFP/DFP)
- Securities quantity
- Trade date
- Settlement date
- Trading party's/ counterparty's Client Securities Account number
- Trading party's/ counterparty's Participant BPID (Business Partner identification number)

3.1.2 The second level matching is:

- Client type
- Taxable indicator

3.2 Permitted Off-Market Transactions

The Participant must only report the following Off-market transactions to Strate:

- Portfolio Movement
- Dematerialisation
- Rematerialisation

3.3 Portfolio Movements

3.3.1 Same Day Settlement of a Portfolio Movement within the Participant, is permitted. The transaction indicator for a Portfolio Movement is "31".

3.3.2 The Participant must report to Strate, match and commit to a Portfolio Movement by 18h00 on S.

3.3.3 A Portfolio Movement is permitted provided there is no change in beneficial ownership.

3.3.4 In respect of Securities where there is a pending Corporate Action, the Participant may only report a Portfolio Movement for Same Day Settlement on RD when prior written approval has been obtained from Strate Settlement Services. The Participant must:

3.3.4.1 electronically send a request for Same Day Settlement to SettlementServices@strate.co.za and CorporateActions@strate.co.za;

3.3.4.2 report to Strate, match and commit to the Portfolio Movement by 17h00 on RD.

3.3.5 The Participant must process a Portfolio Movement as an RFP/DFP transaction.

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4. Dematerialisation and Rematerialisation

Dematerialisation and Rematerialisation must be processed in accordance with Strate Directive SB.1 - *Procedure for Dematerialisation and Rematerialisation - Equities.*

5. Special Circumstances for the Reversal of Commitments

5.1 A committed transaction may only be reversed under exceptional circumstances. An application for a reversal must be processed in consultation with I-EX via Strate Settlement Services.

5.2 For the purposes of this Strate Directive, the Controlling Body has determined the following as allowable exceptional circumstances.

5.2.1 An order or notice pertaining to an Insolvency Proceeding against a Client of the Participant;

5.2.2 A reversal instruction from I-EX.

Additional circumstances may be determined by the Controlling Body upon request.

5.3 If an application is made under 5.2.1, the Participant must provide a copy of the relevant order or notice to Strate.

6. Moment of Finality of Instructions

The Moment of Finality of Instructions referred to in the Strate Rules is the moment immediately preceding Settlement.

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a. Strate does not make any representations or warranties, express or implied, as to the accuracy, completeness or reliability of information contained in any Announcement published by an Issuer, or an Exchange, and sent by Strate.

b. Strate is not liable to any person for any delays in the sending or non-receipt of:
   - Announcements or other information published by Issuers or their agents, or an Exchange; or
   - Payments and other entitlements.

c. Strate is not responsible or liable to any person for any loss or damage resulting from:
   - any delay, act or omission on the part of any third party;
   - incorrect, inaccurate, defective or misleading information furnished or supplied by an Issuer or its agent, an Exchange, or any third party; or
   - the interruption or failure of communication links, power failure, the loss or destruction of any data and/or any loss or damage caused by natural disaster, riot, insurrection, acts of vandalism, sabotage or similar cause.

d. Strate is not liable for any loss incurred by any person as a result of an amendment and/or cancellation of any Corporate Action by an Issuer or its agent, an Exchange or any third party.

e. Strate is not liable for any loss, damage or claim incurred by any person, including but not limited to Issuers, Participants, Nominees and/or Clients of Nominees, as a result of the bank, in whose account the cash entitlements are held, being declared insolvent, becoming the subject of business rescue proceedings or having a curator or resolution manager appointed in terms of any law, prior to those cash entitlements being distributed.

7. Processing of Corporate Actions

7.1 Announcements

7.1.1 Strate receives Announcements from I-EX. Strate thereafter creates the Corporate Action Announcement in the form of an MT564 message, even where this does not contain all the pertinent details. Strate distributes the Announcement to the Participant, who is in turn responsible for notifying its Clients who hold the respective Securities.

7.1.2 The Participant may elect not to send Announcements as set out in 7.1.1 where:

7.1.2.1 the salient details of such Announcement are incorporated in a company notice, report or circular which has been, or will be, sent directly to Clients by an Issuer;

7.1.2.2 the Client has elected not to receive such Announcements;

7.1.2.3 the Client has instructed the Participant to act on its behalf without reference; or

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7.1.2.4 the Issuer is not required by I-EX and/or the Companies Act to send the Announcement.

7.1.3 As updated or additional information relating to the Corporate Action is published, the original Announcement is enhanced and updated information is distributed as set out in 7.1.1. Subject to 7.1.2., the Participant is responsible for notifying relevant Clients of any changes to the Announcement.

7.1.4 Strate sends an MT564 COMP message once all conditions for processing the Corporate Action are finalised. The issuer or Exchange may publish further information after the MT564 COMP message is distributed, in which event Strate will resend the message with the updated information.

7.1.5 Where a cash entitlement is announced by an Issuer as a number of cents per share, Strate, in order to comply with SWIFT standards, converts the cash rate in the Announcement to a number of Rands per share.

7.1.6 Where Strate calculates entitlements based on the cash rate and/or Securities ratios, it does so to the nearest cent for cash, and down to the nearest whole number for Securities, unless otherwise stipulated by the Issuer, but in any event to not more than 15 (fifteen) decimal places.

7.2 Dematerialisation and Rematerialisation Orders

With respect to Securities affected by a Corporate Action:

7.2.1 the Participant and Issuers or Issuer Agents must finalise the processing of any Dematerialisation or Rematerialisation orders that are outstanding by 16h00 on RD-1;

7.2.2 the Participant must not send any Dematerialisation or Rematerialisation orders to Strate on RD. The Participant must only recommence sending any Dematerialisation or Rematerialisation orders from RD+1;

7.2.3 an Issuer or Issuer Agent must not send any instructions for the allotment of Securities or for the cancellation or reduction of Securities to Strate on RD.

7.3 Record Date

7.3.1 Determining the Record Date holdings requires the Participant and Clients to take into account all transactions that are due to Settle on Record Date.

7.3.2 After Settlement has been completed on Record Date, Strate will provide the Issuer or Issuer Agent with details of the aggregate number of Securities and/or cash due to the Participant on Payment Date.

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7.3.3 After Settlement has been completed on Record Date, Strate advises the Participant of the holdings per SDA on which calculations for its entitlements for non-elective Corporate Actions are based, and the expected entitlements, based on such holdings.

7.4 Election

7.4.1 The Participant must obtain its Clients' election instructions based on the Record Date holdings and:

7.4.1.1 reconcile the holdings on which the Client has elected against the anticipated Record Date holdings, and

7.4.1.2 aggregate or split its Client's election instructions and send these to Strate for each of its SDAs in accordance with 7.4.2.

7.4.2 The Participant must send the election instructions referred to in 7.4.1 to Strate in the form of MT565 messages by 13h00 on RD+1, or such other time as stipulated in the Announcement sent by Strate. The Participant is liable for the accuracy, completeness and validity of election instructions sent to Strate.

7.4.3 Where Strate facilitates the processing of voluntary Corporate Actions, including over-subscriptions, Strate reports, and commits to, Off-market transactions on behalf of the Participant upon receipt of the Participant's election instructions. Where Strate does not facilitate the processing of voluntary Corporate Actions, these are processed in accordance with section 8 below.

7.4.4 Where required by Strate, the Participant must send to the Issuer or Issuer Agent, and Strate, the election instructions in the form of a spreadsheet by such time as stipulated in the relevant Announcement sent by Strate.

7.4.5 Where no election has been made by the Participant in respect of an elective Corporate Action, the Participant must, by the time stipulated in 7.4.2, notify Strate, via an MT565 message, that no election has been made. The Participant may send an MT565 message to Strate for each option included in an elective Corporate Action.

7.4.6 Where the Participant sends election instructions in respect of elective Corporate Actions to Strate in the form of an MT565 message, any subsequent MT565 message sent to Strate cancels the previous MT565 message.

7.4.7 Where the Participant has not provided Strate with election instructions by the date and time stipulated in the Announcement sent by Strate, the Default Option will apply.

7.4.8 If there is a discrepancy between the election received from the Participant and the holdings in the respective SDA in Strate, Strate will advise the Participant to resolve the discrepancy within 1 (one) hour and amend its election. Thereafter the following action is automatically taken:

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7.4.8.1 where the Participant's election exceeds the holdings in the SDA, the election is reduced by the amount in excess.

7.4.8.2 where the Participant's election exceeds the holdings in the SDA and the election covers more than one option, the election in respect of the Default Option is reduced by the amount in excess.

7.4.8.3 where the discrepancy exceeds the quantity elected for the Default Option, this quantity is eliminated and the remaining discrepancy subtracted from the next option. If there are more than two options, the Participant must instruct Strate on the adjustment to be made to the election.

7.4.8.4 where the Participant's election is less than the holdings in its SDA, the Default Option is applied to the remaining holding.

7.4.9 Where Strate adjusts the election as provided in 7.4.8, it will advise the Participant of the adjusted election via MT564 message by EOD on RD+1.

7.4.10 Where Strate adjusts the election in accordance with 7.4.8, Strate is not responsible or liable to any person for any loss or damage resulting from such adjustment, and the Participant indemnifies Strate from any loss resulting from such adjustment.

7.4.11 Issuer Agents must send MT567 or MT598-915 confirmation messages to Strate acknowledging receipt of each MT565 message received from Strate. Where Strate facilitates the processing of voluntary Corporate Actions, including over-subscriptions, Issuer Agents must send to Strate an MT598-915 message, advising Strate of any allotted Securities, and the applicable cash rate and/or Securities ratios.

7.5 Post-Election

7.5.1 On RD+1, Strate advises the Participant of the holdings per SDA on which calculations for its entitlements for elective Corporate Actions are based and the expected entitlements based on such holdings.

7.5.2 In those cases where the entitlement is distributed through the Strate System, the details of the Settlement are advised as soon as the orders have been generated by Strate on RD+2.

7.6 Payment Date

7.6.1 The Issuer must irrevocably fund its bank account with the total cash entitlements in respect of the dematerialised holdings, as provided to the Issuer or Issuer Agent by Strate, by no later than 10h00 on Payment Date. Strate will facilitate the distribution of cash entitlements.

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7.6.2 Where the Corporate Action involves a distribution of Securities, the Issuer or Issuer Agent must ensure that the Securities are available for distribution by BOD on Payment Date to enable Settlement to take place.

7.6.3 Strate does not facilitate the distribution of the cash entitlements or send an MT 566 message to the Participant until the cash has been credited to the Issuer's bank account and cleared, in full, within the time and method outlined in paragraph 7.6.1.

7.6.4 Where payment is made to the Issuer's bank account after 14h30 on Payment Date, Strate will notify the Participant of the late payment and process payment to the Participant on the next Business Day.

7.6.5 Where the Issuer does not fund in full in accordance with 7.6.1, or Strate does not receive all or part of the Securities in accordance with 7.6.2, Strate has the right to withhold distribution of cash and/or Securities until after such cash and/or Securities have been received in accordance with 7.6.1 and/or 7.6.2.

7.6.6 Strate is not liable for any interest claims or other liability attaching to non-payment or late distribution of cash or Securities.

7.6.7 Where the Issuer does not fund in full in accordance with 7.6.1, or Strate does not receive all the Securities in accordance with 7.6.2 within 48 (forty-eight) hours from the Payment Date stipulated in the Announcement, Strate will withdraw the Corporate Action from its system and notify the Participant accordingly. Any entitlements must thereafter be processed outside the Strate system. Strate may charge the Issuer an additional fee for withdrawing a Corporate Action for non-compliance.

7.6.8 Strate is not liable for any interest claims or other liability where the Participant or Client that is entitled to receive cash chooses to distribute those cash entitlements prior to actually receiving the cash.

7.6.9 Fractions of Securities are calculated and distributed in the manner stipulated by the Issuer in the Announcement sent by Strate.

7.6.10 The Participant must credit its Clients with cash or Securities on the same day that it receives a distribution.

7.7 Dividend Re-Investments

7.7.1 Where the event type provides the Client with the opportunity to reinvest a dividend, or where the terms of a Security provide for the compulsory reinvestment of a dividend, the Participant is required to re-pay to Strate the elected re-investment portion of any dividends received and to be re-invested, less any applicable tax.

7.7.2 The Participant must irrevocably fund Strate's designated bank account with the total cash entitlements (net of tax) that its Clients have elected to re-invest by 12h00 on PD+1, and no later than 12h00 on PD+2.

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7.7.3 Strate will pay to the Issuer any cash entitlement received from the Participant where such cash has been credited to Strate's designated bank account, in full, within the time and method outlined in 7.7.2. Where Strate receives payment after 15h00 on PD+1, it will notify the Issuer of the late payment and pay the Issuer on the next Business Day. Any cash not received by Strate by 12h00 on PD+2 must be processed outside the Strate System.

7.7.4 Strate is not liable to any person for any interest claims or other liability relating to pre-payment, non-payment, early or late distribution of cash, or for any reinvestment process.

7.8 Prior Consultation

7.8.1 Where a Corporate Action does not conform to the procedures set out in the Corporate Actions Handbook, the Issuer and/or Issuer Agent must ensure that consultation with Strate takes place as early as possible and in any event after the preliminary Announcement is made by the Issuer, but prior to approval of the circular by the Exchange. This is to enable Strate to identify solutions and explore suitable processing methodologies to execute the Corporate Action and reduce exposure to risk.

7.8.2 Furthermore, the Issuer and/or Issuer Agent must ensure that consultation with Strate and the Participant takes place within 2 (two) Business Days of the approval by the Exchange in order to resolve any outstanding queries.

7.8.3 Should the Issuer and/or Issuer Agent fail to consult with Strate and the Participant as set out in 7.8.1 and 7.8.2, Strate will not initiate any process that does not conform to the procedures set out in this Strate Directive.

7.8.4 During the consultation set out in clause 10.1, Strate determines, in consultation with the Issuer, the Participant and the relevant Exchange, whether a Corporate Action is classified as a standard event or a complex event.

7.8.5 If a Corporate Action is classified as a complex event, Strate and the relevant Exchange, in consultation with the Participant and Issuer, may agree to amend the timelines for processing the Corporate Action.

8. Corporate Action Transactions

8.1 A minimum T+0 Settlement cycle is permitted for reporting Corporate Action transactions between the Participant and Strate or the Participant and Issuers. The Client type for a Corporate Action transaction is "23".

8.2 The Participant may report to Strate and commit to all Corporate Action transactions on a Same Day basis in terms of the following timelines:

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8.2.1 transactions involving payment must be reported, matched, committed and Settled by 14h00 on S.

8.2.2 free of payment transactions must be reported, matched, committed and Settled by 18h00 on S.

8.3 New issues must be created as DvP and RvP orders that are captured by the Participant of the Issuer, with the opposite leg captured by the counterparty Participant. The Client type for a new issue transaction is "23".

9. Voting Procedure

9.1 Record of Holdings

Strate will provide the Issuer or Issuer Agent with a record of Shareholders' holdings in the Issuer's Uncertificated Securities Register, per SDA, as at EOD on the Record Date of the Meeting stipulated in the Announcement.

9.2 Participant Obligations

9.2.1 The Participant must facilitate its Client's right to participate and vote in Meetings.

9.2.2 The Participant must notify a Client who hold the relevant Securities of all Meetings, as well as the cut-off time for the submission of Client voting instructions and requests for proxy forms.

9.2.3 The Participant must ensure that proxy forms or other necessary documentation are completed in accordance with the Client's voting instructions and applicable law.

9.2.4 The Participant must retain voting instructions in the same manner and for the same period as any other instruction received from a Client.

9.2.5 The Participant must provide the Issuer or Issuer Agent with voting instructions, proxy forms and letters of representation for Clients before the Market Deadline Time stipulated in the relevant Announcement.

9.2.6 Where an Issuer wishes to know how a particular Client voted:

9.2.6.1 Strate will request the Participant to contact the Client to obtain permission for such disclosure;

9.2.6.2 The Participant must contact the Client and respond to Strate whether or not the Client grants permission for such disclosure;

9.2.6.3 A Client may issue a standing instruction to the Participant granting or refusing such disclosure.

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9.3 Issuer/Issuer Agent Procedures

9.3.1 An Issuer or Issuer Agent must publish a Record Date for a Meeting that is no more than 10 (ten) Business Days prior to the Meeting. If the Issuer or Issuer Agent fails to publish a Record Date, the Record Date for the Meeting is deemed to be 3 (three) Business Days prior to the Meeting.

9.3.2 Where an Issuer or Issuer Agent requests information from Strate relating to a Client's voting instructions, such request must be submitted in writing to Strate on an official company letter and duly signed. Strate will provide the Issuer or Issuer Agent with information relating to the Client's voting instructions where written permission has been received from the Client..

9.3.3 The Issuer or Issuer Agent must ensure that the total of the Securities holdings in the Issuer's Uncertificated Securities Register agrees with the total of the Uncertificated Securities for that Issuer as contained in its records on the date indicated;

10. Disclosure of Beneficial Interests (BIR)

The disclosure of beneficial interest information must be processed in accordance with Strate Directive SA.8 - *File Layout for Beneficial Interest Register – Equities, Bonds and Participatory Interests.*

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